



April 8, 2025

Sen. Michael Moore, Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 109-B
Boston, MA 02133

Rep. Tricia Farley-Bouvier, Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 274
Boston, MA 02133

Sen. Pavel Payano, Vice Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 520
Boston, MA 02133

Rep. James K. Hawkins, Vice Chair
Joint Committee on Advanced Information
Technology, the Internet and Cybersecurity
24 Beacon Street, Room 472
Boston, MA 02133

RE: Letter in Opposition to Massachusetts H. 86 and S. 197

Dear Chair Moore, Chair Farley-Bouvier, Vice Chair Payano, and Vice Chair Hawkins:

On behalf of the advertising industry, we write to oppose Massachusetts H. 86 and S. 197.¹ Our organizations support meaningful privacy protections for Massachusettsans. As described in more detail below, H. 86 and S. 197's terms veer from the well-established approaches to location data present in other state privacy laws, further complicating the increasingly complex privacy landscape for both businesses and consumers across the country. Accordingly, we ask you to decline to advance the bills as drafted out of the Joint Committee on Advanced Information Technology, the Internet and Cybersecurity ("Committee") and to consider updates to the bills to bring them in line with the majority of states that have passed privacy legislation.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² By one estimate, over 217,220 jobs in Massachusetts are related to the ad-subsidized Internet.³ We would welcome the opportunity to engage with the Committee further on the non-exhaustive list of issues we outlined here.

¹ Massachusetts H. 86 (2025-26 Sess.), located [here](#) (hereinafter, "H. 86"); Massachusetts S. 197 (2025-26 Sess.), located [here](#) (hereinafter, "S. 197").

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

³ *Id.* at 127-28.

I. H. 86 and S. 197 Should Be Harmonized with Existing State Privacy Laws

Massachusetts should focus its efforts on harmonizing with the approach to location information taken in a majority of other states. A patchwork of differing privacy standards across the states creates significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live.

H. 86 and S. 197's treatment of "location information" strays from the majority of states in that both bills would outlaw the collection or processing of location information aside from use for a very narrow set of permissible purposes assigned at a fixed point in time by the legislature, thus requiring an act of the legislature in the future for any innovation or new service to be deemed permissible. Those narrow purposes are: provision of a product, service, or service feature to the individual to whom the location information pertains when that individual requested the provision of such product, service, or service feature by subscribing to, creating an account, or otherwise contracting with a covered entity; initiation, management, execution, or completion of a financial or commercial transaction or to fulfill an order for a specific product or service requested by an individual, including any associated routine administrative, operational, and account-servicing activity such as billing, shipping, delivery, storage, and accounting; compliance with an obligation under federal or state law; or response to an emergency service agency, an emergency alert, a 911 communication, or any other communication reporting an imminent threat to human life.⁴ H. 86 and S. 197 would also require covered entities to obtain consumer consent to use location information for these permissible purposes and obtain "discrete" consent for each permissible processing purpose.⁵ Meanwhile, most other states allow for the general collection or processing of location information subject to notice to a consumer and that consumer's opt-in consent without an overarching limitation that such data may only be used for certain enumerated "permissible purposes."⁶

Given that marketing and advertising would not be permissible purposes under the bills, H. 86 and S. 197 would appear to eliminate the ability to personalize messages to consumers based on location information even where consumers would otherwise consent to this processing. Again, this is in stark contrast to other state laws and industry rules. We encourage the Committee to amend H. 86 and S. 197 to remove its "permissible purposes" data processing limitation and instead reflect the well-established approach in other state privacy laws that allows for consumer choice while also preserving use cases for location information.

⁴ H. 86 § 1; S. 197 § 1.

⁵ H. 86 § 2(a), (b); S. 197 § 2(a), (b).

⁶ See, e.g., Conn. Gen. Stat. § 42-520(a)(4); Ind. Code § 24-15-4-1(5).

II. H. 86 and S. 197's Restrictions on Location Data Are Confusing and Would Undermine Advertising Benefits for Consumers and Local Businesses, Emergency Notices, and Fraud Prevention Services

H. 86 and S. 197 would require a covered entity that delivers targeted advertising to provide consumers with the ability to opt out of the processing of location information to select or deliver targeted ads.⁷ However, as previewed in Section I, *the bills would also make it unlawful to collect or process location information except for a permissible purpose, which excludes advertising or marketing activities.*⁸ By banning the use of location information aside from permitted purposes, which do not clearly include advertising or marketing activities, while simultaneously permitting targeted advertising based on location information subject to a consumer opt-out, H. 86 and S. 197 propose a confusing approach to targeted advertising that would have a chilling effect on commerce. Particularly, restricting processing of location information to a very limited list of permitted purposes would impede advertising and marketing efforts that deliver more relevant information to consumers as well as hinder important services that depend on precise location data to function.

Location information is an integral component for consumer personalization and marketing that allows companies to reach consumers with relevant content and ads at the right time and in the right place. This benefit is especially meaningful for Massachusetts's small and medium-sized businesses. Without the ability to process such data subject to consumer consent, businesses will have a more difficult time, and face higher costs, reaching consumers with relevant marketing, and consumers will not be alerted to products and services they desire that are near to them.

An important service powered by location information is emergency notices, particularly AMBER alert and severe weather notices. The disclosure of location information powers these important emergency notices and allows AMBER alert notices as well as information regarding extreme weather to be immediately displayed to users in the impacted area on any device they are using.⁹ While H. 86 and S. 197 exempt collecting location information for the permissible purpose of "response" to an emergency service agency, an emergency alert, a 911 communication, or any other communication reporting an imminent threat to human life, that exemption is very narrow.¹⁰ If H. 86 or S. 197 becomes law, location information in Massachusetts will lose much of its utility in the marketplace. As a result, this data will be less likely to be collected and used overall, making it less procurable for use for emergency alert purposes. If H. 86 or S. 197 is enacted, Massachusettsans may lose access to important, real-time alerts, which rely on the disclosure of location information.

⁷ H. 86 § 2(c); S. 197 § 2(c).

⁸ H. 86 § 2(a); S. 197 § 2(a).

⁹ See, e.g., Digital Advertising Alliance, *Summit Snapshot: How Digital Ad Technology Helps Drive the Amber Alert System and Its Increasingly Global Impact* (Aug. 26, 2025), located [here](#).

¹⁰ H. 86 § 2(b); S. 197 § 2(b).

Location information also enables more effective fraud prevention to protect consumers and businesses. Financial institutions, retailers, and others rely on anti-fraud services that include location information provided by third parties. The disclosure of location information allows anti-fraud and identity protection services to flag suspicious behavior and protect vulnerable communities. For example, companies can more easily detect credit card theft or fraud if they or their service providers have access to location information showing that a consumer is not in the location where a purchase is being made. The ability to use and disclose location information helps companies to detect and prevent fraudulent and illegal activity and reach out to consumers to confirm their purchases. Similarly to the use case for emergency alerts, if H. 86 or S. 197 becomes law, companies may collect and use location information less (particularly data relevant to Massachusettsans), making this critical data set less available for this important anti-fraud and identity protection use. If passed, H. 86 and S. 197 would inhibit the use of location information to protect Massachusetts consumers from fraud and identity theft.

III. H. 86 and S. 197's Location Privacy Policy Requirements are Unnecessary and Would Cause Notice Fatigue

Furthermore, H. 86 and S. 197 would require covered entities to produce a “location privacy policy.”¹¹ Adding yet another privacy policy requirement, on top of general privacy policy requirements that businesses must maintain under other state laws,¹² would inundate individuals with notices without providing meaningful privacy benefits and would overwhelm businesses with drafting additional privacy disclosures. These strains on consumers and businesses would be compounded by the bills’ cumbersome discrete consent requirements.¹³ Businesses would be required to provide additional privacy policies alongside multiple discrete consent requests, and consumers would be overburdened with parsing these disclosures and reviewing numerous requests for consent from various entities. The purported benefit of a location privacy policy would be minimal at best given that the required disclosures would be duplicative of privacy policy requirements under other state laws. For example, permissible purposes for location information processing would overlap with existing data use disclosures, and disclosing identities of specific service providers or third parties would both provide negligible value to consumers, who already receive disclosures about categories of service providers and third parties to which an entity discloses information, and threaten to violate confidentiality agreements with business partners or expose valuable trade secrets to competitors.

IV. Attorney General Regulatory Authority Should Be Removed from H. 86 and S. 197

Additionally, H. 86 and S. 197's enforcement provisions suggest that the Massachusetts Attorney General (“AG”) may have authority to adopt rules under these bills, yet most state privacy laws have avoided granting rulemaking authority.¹⁴ Such rulemaking authority without

¹¹ H. 86 § 2(a); S. 197 § 2(a).

¹² See, e.g., Cal. Civ. Code § 1798.130(5).

¹³ H. 86 § 2(b); S. 197 § 2(b).

¹⁴ H. 86 § 4(a); S. 197 § 4(a).

clear direction in the statute would exacerbate H. 86 and S. 197's divergence from existing privacy standards and worsen compliance burdens.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.¹⁵ Another recent study found that a consumer data privacy proposal in Florida would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.¹⁶ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.¹⁷ Harmonization with existing privacy laws is essential to create an environment where consumers in Massachusetts have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Massachusetts should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

V. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, H. 86 and S. 197 would permit private litigants to bring lawsuits.¹⁸ We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the AG alone, because such an enforcement structure would lead to stronger outcomes for Massachusetts residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in H. 86 and S. 197 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood Massachusetts's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right

¹⁵ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

¹⁶ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

¹⁷ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

¹⁸ H. 86 at § 4(b); S. 197 § 4(b).



of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.¹⁹

Beyond the staggering cost to Massachusetts businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the inclusion of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to update H. 86 and S. 197 to remove the private right of action and to vest sole enforcement authority in the AG.

* * *

¹⁹ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



We and our members strongly support meaningful privacy protections for consumers. We believe, however, that H. 86 and S. 197's prescriptive and burdensome obligations would obstruct the responsible processing of location information that powers Massachusetts residents' access to critical services and resources. We therefore respectfully ask the Committee to decline to advance both H. 86 and S. 197 as proposed.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Michael Hahn
EVP & General Counsel
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Joint Committee on Advanced Information Technology,
the Internet and Cybersecurity

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP